GREAT HARVEST BANKERS SAVINGS AND CREDIT CO-OPERATIVE SOCIETY LIMITED

REG. NO.11486/RCS

Audited Financial Statements
For the Year Ended 31st December 2025

Auditors:

Augustus Associates
Certified Public Accountant
P.O. Box 40210 Kampala (U)
Koli House - 3rd Floor, Suite 2
Ntinda, Kiwatule Rd
Tel: 0392 000 334 / 0702 894 931
E-mail: ajalliance2@gmail.com
Website: www.augustusassociates.com

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SOCIETY INFORMATION

Principal Place of Business

Equatorial Mall Room 249
Kampala Central, Nakasero 3 Parish, Kyaggwe Road
P. O. Box 31160
Kampala-Uganda
Email: greatharvestbankerssacco2024@gmail.com

Bankers

Finance Trust Bank Ltd

Centenary Development Bank Ltd

Housing Finance Bank

Auditors

Augustus Associates
Certified Public Accountant
P.O. Box 40210 Kampala (U)
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BOARD'S REPORT TO THE MEMBERS OF THE SOCIETY

1. Introduction

The Board is pleased to submit its report and the audited financial statements of Great Harvest Bankers Savings and Credit Co-operative Society Limited for the year ended 31 December 2025 which discloses the state of affairs of the society for the year then ended.

2. Principal Activities

The society's principal activity is to mobilize members to join the society, pay membership and annual subscription fees; and offer financial services by way of savings, extending credit facilities to members and finding various avenues for investing of available members' funds etc.

3. Results

The financial results for the year are shown on page 9.

4. Board of Directors

The members who served on the Board during the year ended 31 December 2025 are shown below:

No.	Name	Representation
1.	Mr. Fred Ruhakana	Chairperson
2.	Mr. Henry Tamale	Vice chairperson
3.	Mr. Kezekia Kizito	Treasurer
4.	Mr. Semakula Jackson Katende	Secretary
5.	Mr. Ivan Balondemu Sam	Member
6.	Mr. David Tom Ogwal	Member
7.	Mrs. Margaret S Kiggundu	Member

5. Vetting committee

The members who served on the Vetting committee during the year ended 31 December 2025 are shown below:

No.	Name	Representation
1.	Mr. Kaggwa Daniel	Chairperson
2.	Mr. Pauline Kalule Ssentongo	Member
3.	Ms. Okello Catherine	Member

6. Supervisory Board committee

No.	Name	Representation
1.	Mr. Katimbo Mugwanya Edward	Chairperson
2.	Mr. Justine Muwanga Kaggwa	Member
3.	Mrs. Harriet Kiwanuka Esther Nabuufu	Member

7. Human Resource Committee

No.	Name	Representation
1.	Mr. Balondemu Ivan Sam	Chairperson
2.	Mrs. Kiggundu S. Margaret	Member
3.	Mr. David Tom Ogwal	Member
4.	Mr. Semakula Jackson Katende	Member

8. Finance and Investment Committee

No.	Name	Representation
1.	Kezekia Kizito	Chairperson
2.	Jackson Semakula Katende	Member
3.	David Tom Ogwal	Member
4.	Henry Tamale	Member

9. Board meetings held during the year

Society's Board held the following meetings as required by the Society's bye laws and the Cooperative Societies Act Cap.107.

	Second Quarter Board meeting held on 19.08.2025	Third Quarter Board meeting held on 17.10.2025
No.	Name	Name
1	Mr. Fred Ruhankana	Mr. Fred Ruhankana
2	Mr, Henry Tamale	Mr, Henry Tamale
3	Mr. Ivan Balondemu	Mr. Jackson Semakula
4	Mrs. Margret Kiggundu	Mr. Ivan Balondemu
5	Mrs. Kezekia Kizito Makabugo	Mrs. Margret Kigguddu
6	Mr. Jackson Semakula	Mr. Kezekia Kizito Makabugo
7	Mr. David Tom Ogwal	Mr. David Tom Ogwal

10. Auditors

The Society's Auditors, Augustus Associates (Certified Public Accountant), being eligible, are willing to continue in office if re-appointed at the Annual General Meeting as auditors for the year ending 31 December 2026.

Secretary
Great Harvest Bankers SACCO

------/------/2026

STATEMENT OF BOARD'S RESPONSIBILITIES

The Cooperative Societies Act, Cap.107 require the Board to prepare financial statements for each year which show a true and fair view of the state of affairs of the society as at the end of the financial year. It also requires the Board to ensure that the society keeps proper books of account, which disclose with reasonable accuracy, at any time, the financial position of the society. The Board is also responsible for safeguarding the assets of the society.

The Board accepts the responsibility for the annual financial statements set out on pages 9 to 12, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments, and estimates, in conformity with International Financial Reporting Standards (IFRS) and in a manner required by the society's Byelaws, the Cooperative Societies Act, Cap.107 and the Cooperative Societies Regulations 1992.

The Board members are of the opinion that the financial statements give a true and fair view of the state of affairs of the society and of its operating results. The Board further accepts the responsibility for maintenance of accounting records, which may be relied upon in the preparation of financial statements, as well as adequate system of internal control.

Nothing has come to the attention of the Board to indicate that the society will not remain a going concern for at least the next twelve months from the date of this statement.

……………………………………	…………………………………………
Chairperson	**Treasurer**
………/………/2026	**………/………/2026**

INDEPENDENT AUDITOR'S REPORT

To the members of Great Harvest Bankers Savings and Credit Co-operative Society Limited

Opinion

We have audited the financial statements of Great Harvest Bankers Savings and Credit Co-operative Society Limited, which comprise the statement of financial position as at 31 December 2025, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of Great Harvest Bankers Savings and Credit Co-operative Society Limited as at 31 December 2025, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRS) and the requirements of the Cooperative Societies Act, Cap.107 and the Cooperative Societies Regulations 1992.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs) and Guidelines issued by the Institute of Certified Public Accountants of Uganda. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report (on the next page). We are independent of the society in accordance with the International Ethics Standards Executive Committee for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with ethical requirements that are relevant to our audit of the financial statements in Uganda, and we have fulfilled our other responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of matter

Without qualifying our opinion, we draw your attention to note 26 on page 23, where the provision for loan loss was computed while considering an overdue loan as performing. Had this loan been considered as overdue, the loan loss provision would have been more by Shs 31,124,376 and the surplus before appropriation would have been less by the same amount.

Responsibilities of Management and those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements in accordance with International Financial Reporting Standards, and for such internal control as Management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, Management is responsible for assessing the society's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless Management either intends to liquidate the society or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the society's financial reporting process.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significant in our audit of the financial statements of the current period. Those matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

There were no Key Audit Matters to report on.

Auditor's Responsibilities for the Audit of the financial Statements

Our objectives are to obtain reasonable assurance whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing will always detect material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with International Standards on Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the society's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by Management.
- Conclude on the appropriateness of Management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the society's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the society to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

As required by the Co-operative Societies Act, Cap.107 and the Cooperative Societies Regulations 1992, we report to you, based on our audit that:

i) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit;

ii) In our opinion proper books of account have been kept by the society, so far as appears from our examination of those books; and

iii) The society's statement of financial position and statement of comprehensive income are in agreement with the books of account;

iv) In our opinion the business administration of the society has been conducted efficiently, in accordance with cooperative principles and the auditing and accounting provisions of the Cooperative Societies Act Cap. 107 and in accordance with its objectives, byelaws and any other decisions made by the Annual General Meeting.

The engagement partner on the audit resulting in this independent auditor's report is CPA Augustine Lule - P0169

..
CPA Augustine Lule

……………………………………….
Augustus Associates
Certified Public Accountant
Kampala

……/……/ 2026

STATEMENT OF COMPREHENSIVE INCOME

	Note	Year ended 31.12.2025 Shs	Year ended 31.12.2024 Shs
Income			
Loan interest income	**3**	89,272,454	48,154,328
Interest expense	**4**	(27,461,790)	(15,033,326)
Net interest income		**61,810,664**	**33,121,002**
Non-interest income			
Fees income	**5**	47,051,507	21,652,500
Investment income	**6**	43,832,988	25,198,059
Other income	**7**	30,183,992	23,185,380
Total Income		**182,879,151**	**103,156,941**
Expenditure			
Increase in loan loss provision		305,131	5,183,972
Governance costs	**8**	23,290,000	22,267,000
Employee costs	**9**	53,085,714	29,022,000
Administrative and operating expenses	**10**	33,195,338	28,548,440
Finance costs	**11**	5,382,229	2,617,804
Total expenditure		**115,258,412**	**87,639,216**
Surplus/ (Deficit) for the year		**67,620,739**	**15,517,725**
Statutory appropriations	**12**	(15,651,318)	(3,511,836)
Surplus after appropriations		**51,969,421**	**12,005,889**

(The financial statements on pages 9 to 12 should be read together with the related notes on 13 to 28)

These financial statements were approved by the Executive Board on ……/……/ 2026, and were signed on its behalf by:

…………………………………
Chairperson

……………………………………………
Treasurer

STATEMENT OF FINANCIAL POSITION

	Note	Year ended 31.12.2025 Shs	Year ended 31.12.2024 Shs
ASSETS			
Current Assets			
Cash and bank balances	**13**	107,541,016	109,139,069
Loans and advances	**14**	505,859,379	271,023,429
Trade and other receivables	**15**	4,845,350	1,412,500
Inventory	**16**	420,000	-
Investments	**17**	437,759,863	270,877,474
Total Current Assets		**1,056,425,608**	**652,452,472**
Non-current Assets			
Property and equipment	**18**	13,595,611	7,301,251
Total Non-current Assets		**13,595,611**	**7,301,251**
Total Assets		**1,070,021,219**	**659,753,724**
EQUITY AND LIABILITIES			
Current Liabilities			
Trade and other payables	**19**	10,579,640	36,261,838
Members' savings	**20**	647,480,860	412,521,394
Total Current Liabilities		**658,060,500**	**448,783,232**
Equity			
Share capital	**21**	266,200,000	169,560,000
Share premium		46,515,000	-
Retained Earnings	**22**	77,134,636	24,950,726
Non-distributable reserves	**23**	22,111,083	6,459,765
Donor funds (BOU)	**24**	-	10,000,000
Total Equity		**411,960,719**	**210,970,491**
Total Equity and Liabilities		**1,070,021,219**	**659,753,723**

(The financial statements on pages 9 to12 should be read together with the related notes on 13 to 28)

These financial statements were approved by the Executive Board on ……/……/ 2026, and were signed on its behalf by:

………………………………… ……………………………………………
Chairperson **Treasurer**

STATEMENT OF CHANGES IN EQUITY

Particulars	Share Capital Shs	Share Premium Shs	Share Transfer Fund Shs	Statutory Reserve Fund Shs	Development Revolving Fund Shs	Education Fund Shs	Donations BOU Shs	Retained Earnings Shs	Total Shs
For the year ended 31.12.2025									
As at 01.01.2025	169,560,000	-	2,984,500	2,172,041	1,086,020	217,204	10,000,000	24,950,726	**210,970,491**
New Shares issued	96,640,000	-	-	-	-	-	-	-	**96,640,000**
Share premium for the year	-	46,515,000	-	-	-	-	-	-	**46,515,000**
Surplus for the year	-	-	-	-	-	-	-	67,620,739	**67,620,739**
Share transfer fund	-	-	4,832,000	-	-	-	-	(4,832,000)	**-**
Statutory reserve fund	-	-	-	6,762,074	-	-	-	(6,762,074)	**-**
Development revolving fund	-	-	-	-	3,381,037	**-**	**-**	(3,381,037)	**-**
Education Fund	-	-	-	-	-	676,207	-	(676,207)	**-**
Donations-BOU	-	-	-	-	-	**-**	(10,000,000)	10,000,000	**-**
Dividends paid	-	-	-	-	-	-	-	(9,785,511)	**(9,785,511)**
	266,200,000	**46,515,000**	**7,816,500**	**8,934,115**	**4,467,057**	**893,411**	**-**	**77,134,636**	**411,960,719**
Non-distributable funds			**7,816,500**	**8,934,115**	**4,467,057**	**893,411**			

(The financial statements on pages 9 to 12 should be read together with the related notes on 13 to 28)

STATEMENT OF CASH FLOWS

	Year ended 31.12.2025 Shs	Year ended 31.12.2024 Shs
Operating Activities		
Surplus before appropriation	67,620,739	15,517,725
Adjustment for non-cash items:		
Depreciation	1,530,641	1,182,028
	69,151,380	**16,699,753**
Operating Surplus Before Working Capital Changes		
Working Capital Changes		
Increase/(Decrease) in inventory	(420,000)	-
(Increase)/decrease in outstanding loans	(234,835,951)	(98,382,704)
(Increase)/decrease in other receivables	(3,432,850)	(1,412,500)
Increase/(Decrease) in members savings	234,959,466	175,876,204
(Increase)/decrease in accounts payable	(25,682,198)	21,403,501
Prior year audit adjustment	-	(342,208)
Cash generated/(used) in operations	**39,739,847**	**113,842,046**
Tax paid	-	-
Net cash flow from operating activities	**39,739,847**	**113,842,046**
Investing Activities		
Purchase of fixed assets	(7,825,000)	(2,150,000)
Investments	(166,882,389)	(67,785,559)
Net cash flow from/(into) investing activities	**(174,707,389)**	**(69,935,559)**
Financing Activities		
Share capital issued and paid up	96,640,000	20,580,000
Increase/(decrease in share premium)	46,515,000	-
Dividends paid out	(9,785,511)	-
Net cash flow from/(into) financing activities	**133,369,489**	**20,580,000**
Net increase in cash flows	**(1,598,053)**	**64,486,487**
Cash and cash equivalents at start of the year	109,139,069	44,652,582
Cash and cash equivalents at end of the year	**107,541,016**	**109,139,069**

(The financial statements on pages 9 to 12 should be read together with the related notes on 13 to 28)

NOTES TO THE FINANCIAL STATEMENTS

1. The accounting entity

Great Harvest Bankers Savings and Credit Co-operative Society Limited (the society) was registered with the Registrar of Cooperative Societies on 26th October 2021 as a Cooperative Society Limited. Its certificate number is 11486/RCS.

2. Material Accounting Policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been applied consistently throughout the years, unless otherwise stated.

a) Basis of preparation

The financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The measurement basis applied is the historical cost basis, except where otherwise stated in the accounting policies below. The financial statements are presented in Uganda shillings.

The preparation of the financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the society's accounting policies. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are as follows:

- ***Estimation of useful lives of assets:*** The society determines the estimated useful lives and related depreciation and amortization charges for its property, plant and equipment and finite life intangible assets. The useful lives could change significantly as a result of technical innovations or some other event. The depreciation and amortization charge will increase where the useful lives are less than previously estimated lives, or technically obsolete or non-strategic assets that have been abandoned or sold will be written off or written down.

- ***Provision for loan losses:*** The provision for losses assessment requires a degree of estimation and judgement. It is based on the lifetime expected credit loss, grouped based on days overdue, and makes assumptions to allocate an overall expected credit loss rate for each group. These assumptions include recent sales experience and historical collection rates. The allowance for expected credit losses, as disclosed in note 4, is calculated based on the information available at the time of preparation. The actual credit losses in future years may be higher or lower.

Nothing has come to the attention of the Board Members to indicate that the Society will not remain a going concern for at least the next twelve months from the date of this report. Therefore, the financial statements have been prepared on a going concern basis.

(b) Statement of compliance

The financial statements of the SACCO have been prepared in accordance with International Financial Reporting Standards (IFRS Accounting Standards) and the requirements of Co-operative Societies Act, Cap.107 and the Cooperative Societies Regulation 1992.

(i) New and amended standards and interpretations in issue but not yet effective for the Period ended 31st December 2025.

Standards and interpretations that are not yet effective and have not been adopted early by the Society include:

Pronouncement	**Effective date**	**Impact on the society's financial statements**
Lack of Exchangeability(Amendments to IAS 21)	1 January 2025	None
Amendments to the SASB standards to enhance their international applicability	1 January 2025	None
IFRS Practice Statement 1 — Management Commentary (Revised)	23 June 2025	None

These amendments are not expected to have a significant impact on the financial statements in the period of initial application and therefore the disclosures have not been made.

The accounting policies adopted are consistent with those used in the previous financial year. Changes from the following new or revised standards, interpretations, amendments to existing standards, interpretations, and improvements to IFRS Accounting Standards that were effective for the current reporting period did not have material impact on the accounting policies, financial position or performance of the Society.

(ii) Standards, Amendments and Interpretations to existing Standards that are not yet effective and have not been adopted early by the Society

Standards and interpretations that are not yet effective and have not been adopted early by the Society include:

Pronouncement	Effective date
Amendments to IFRS 9 and IFRS 7 – Classification and Measurement of Financial Instruments	1 January 2026
Contracts Referencing Nature-dependent Electricity (Amendments to IFRS 9 and IFRS 7)	1 January 2026
Annual Improvements to IFRS Accounting Standards – Volume 11	1 January 2026
IFRS 18 – Presentation and Disclosure in Financial Statements	1 January 2027
IFRS 19 – Subsidiaries without Public Accountability: Disclosures	1 January 2027
Amendments to IAS 21 – Lack of Exchangeability	1 January 2027

These amendments are not expected to have a significant impact on the financial statements in the period of initial application and therefore the disclosures have not been made.

(c) Revenue recognition

Revenue mainly comprises of interest earned from loans advanced to members and other incomes such as bank interest, interest from UAP investment, ICEA investment, Sanlam investment, loan processing fees, loan monitoring fees, loan insurance fees, loan application fees, membership fees etc.

The society recognizes revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the entity and when the specific criteria have been met as described below:

(i) Interest income is accrued by reference to the time in relation to the principal outstanding and effective interest rate applicable.

(ii) Interest income on loans is collected with monthly loan repayments.

(d) Expenditure recognition

Expenditure is recognized when it is incurred.

(e) Accounts payable

Accounts payable are recognized at fair value.

(f) Accounts receivable.

Trade receivables are carried at anticipated realizable value. Specific provision is made for bad and doubtful loan losses basing on the loans aging analysis. Bad debts are written off during the year in which they are identified when all reasonable steps to recover them have failed.

(g) Property and equipment

All property and equipment are initially recorded at cost.

Depreciation is calculated on a reducing balance basis to write off the cost of property and equipment to their residual value over their useful lives.

Non-Current Assets	**Percentage rate**
Computer& accessories	25%
Equipment	20%
Furniture & Fittings	13%

(i) Gains or losses on the sale of property and equipment are recognized upon disposal of such assets.

(ii) Maintenance and repairs that do not extend the useful lives of assets are expensed in the year in which they are incurred.

(h) Cash and cash equivalents

Cash and cash equivalents represent balances of cash at hand, bank and comparable liquid assets.

(i) Dividends

The Executive Board proposes dividends which are approved at the Annual General Meeting. They are passed through the statement of changes of equity in the year in which they are paid.

(j) IFRS 9 Financial instruments

IFRS 9, as issued in July 2014, reflects the completion of all the phases of the IASB's work on the replacement of IAS 39 and applies to the classification and measurement of financial assets and financial liabilities, impairment as well as hedge accounting.

Classification and measurement of financial instruments

- *Financial assets*

Financial assets are measured at mortised cost, fair value through profit or loss, or fair value through other comprehensive income, based on both the entity's business model for managing the financial assets and the financial asset's contractual cash flow characteristics.

Equity securities are measured at fair value through profit or loss unless the entity chooses, on initial recognition, to present fair value changes in other comprehensive income (OCI). This option is irrevocable and applies only to equity instruments, which are not held for trading. Unlike debt instruments, gains and losses in OCI are not recycled on sale and there is no impairment accounting. Derivatives are also measured at fair value through profit or loss. In comparison to IAS 39, there is no divergence of embedded derivatives for financial assets recorded at mortised cost or FVOCI. The de-recognition principles in terms of IAS 39 remain the same in IFRS 9.

- *Financial liabilities*

For liabilities designated at fair value through profit and loss, the change in the fair value of the liability attributable to changes in credit risk is presented in OCI. All other classification and measurement requirements in IAS 39 have been carried forward into IFRS 9.

- *Impairment of financial assets*

The expected credit loss model applies to debt instruments recorded at amortized cost or at fair value through other comprehensive income (such as loans, debt securities and trade receivables), lease receivables and most loan commitments and financial guarantee contracts.
Entities are required to recognize either 12-month or lifetime expected credit losses, depending on whether there has been a significant increase in credit risk since initial recognition.

The measurement of expected credit losses would reflect a probability-weighted outcome, the time value of money and reasonable and supportable information.

The Cooperative Society provided for loan loss as follows:

Classification	**Outstanding loans**	**Rate**	**Loan loss provision**
	Shs		Shs
Performing loans	514,581,622	1%	5,145,816
Watch loans	-	5%	-
Sub-standard loans	-	25%	-
Doubtful loans	-	50%	-
Loss loans	9,440,055	100%	9,440,055
Total	**524,021,677**		**14,585,871**

An outstanding loan amounting to Shillings 31,438,764 was taken from loss loans to performing loan due to the fact that the borrower issued a standing order of shillings 600,000 per month.

(k) Taxation

With effect from 1 July 2017, the Government of Uganda amended the Income Tax Act 1997 and gave SACCOs a ten-year tax exemption.

(l) Statutory reserves

The Cooperative Societies Act Cap. 107 and Cooperative Regulations 1992 require the Cooperative Society to provide for the following statutory reserves:

Reserve	**Rate**	**Basis**	**Reference**	**Comments**
Education fund	1%	Annual surplus	Sec. 54 of Coop. Societies Act	Implemented because the Cooperative Society made a surplus.
Share transfer fund	5%	Share capital	Reg. 43 of Coop. Societies Regulations	Implemented because the Cooperative Society made a surplus.
Development revolving fund	5%	Annual surplus	Reg. 36 of Coop. Societies Regulations	Implemented because the Cooperative Society made a surplus.
Statutory reserve fund	10%	Annual net	Reg. 34 of Coop. Societies	Implemented because the

Reserve	Rate	Basis	Reference	Comments
		surplus	Regulations	Cooperative Society made a surplus.

(n) Savings

These are savings by members of the Co-operative.

(o) Share capital

Share capital represents members' contributions at the nominal (par) value of shares.

Particulars	
Issued and fully paid shares	26,620
Par value per share	10,000
Share capital	**266,200,000**

During the year, the SACCO maintained the nominal value of shares at UGX 10,000. Existing shares were not revalued following the change in share issue price.

(p) Share premium

The Society's General members approved an increase in the share issue price from UGX 10,000 to UGX 15,000 per share in the Annual General Meeting held on 05 April 2025 The excess of UGX 5,000 per share is recognized as share premium, a separate component of equity.

The share premium is a component of equity that is non-distributable, not withdrawable by members and cannot be applied for dividend distribution.

(q) Comparatives

Comparative figures have been shown for comparison purposes with previous year balances.

Notes to the financial statements (continued)

		Year ended 31.12.2025 Shs	Year ended 31.12.2024 Shs
3.	**Loan interest income**		
	Interest income on loans	89,272,454	48,154,328
		89,272,454	**48,154,328**
4.	**Interest expense**		
	Interest on members' savings	27,461,790	15,033,326
		27,461,790	**15,033,326**
5.	**Fees income**		
	Loan insurance income	16,261,655	4,182,500
	Loan processing fees	14,791,176	8,365,000
	Loan application fees	1,207,500	740,000
	Loan monitoring fees	14,791,176	8,365,000
		47,051,507	**21,652,500**
6.	**Investment income**		
	Interest from UAP Fund	8,630,898	17,193,348
	Interest on sanlam	10,920,444	6,592,211
	Interest on ICEA Trust Fund	7,331,046	-
	Treasury bond	16,950,600	1,412,500
		43,832,988	**25,198,059**
7.	**Other income**		
	Membership fees	550,000	1,010,000
	Subscription fees	14,040,000	11,540,000
	Bank interest income	3,301,704	2,223,510
	Penalty income	208,288	6,703,870
	Group life assurance premium fees	1,170,000	1,008,000
	Group last expense compensation fees	800,000	700,000
	Accounts closure fees	30,000	-
	Sale of T-shirts	1,440,000	-
	Social welfare	8,644,000	-
		30,183,992	**23,185,380**
8.	**Governance costs**		
	Board Facilitation	6,300,000	6,450,000
	Committees' expenses	6,280,000	5,777,000

	Year ended 31.12.2025 Shs	Year ended 31.12.2024 Shs
Annual General Meeting expenses	3,160,000	3,640,000
Token to board	3,550,000	2,400,000
Service awards	4,000,000	4,000,000
	23,290,000	**22,267,000**

9. Employee costs

Salaries and wages	51,800,300	-
NSSF employer contribution	1,085,414	-
Token for staff	200,000	-
Staff facilitation	-	20,022,000
CEO facilitation	-	9,000,000
	53,085,714	**29,022,000**

10. Administration and operating expenses

Office rent	10,458,000	10,458,000
Office cleaning	350,500	308,000
Stationary and printing	861,500	1,194,100
Transport expenses	4,127,000	6,380,200
Audit fees	2,000,000	2,000,000
Depreciation	1,530,640	1,003,830
Telephone expenses	3,191,295	239,800
Electricity	489,300	533,510
Re-branding	100,000	300,000
Computer repairs	-	30,000
Website development	-	500,000
Office repairs	865,000	25,000
Governance workshop	600,000	3,576,000
Legal fees	880,000	2,000,000
Professional fees	1,486,000	-
Office catering	1,025,500	-
Registration fees	52,300	-
Licensing fees	2,280,000	-
Cost of T-shirt (34 @ shs 30,000)	1,080,000	-
Written of balance	1,818,303	-
	33,195,338	**28,548,440**

11. Finance costs

Cost on Treasury bond	-	1,632,000
Financing fees	341,300	-
Insurance fees	2,438,978	-
Insurance training levy fees	28,359	-
Bank charges	2,573,592	985,804
	5,382,229	**2,617,804**

		Year ended 31.12.2025 Shs	Year ended 31.12.2024 Shs
12.	**Statutory appropriations**		
	Share transfer fund	4,832,000	1,029,000
	Statutory reserve fund	6,762,074	1,551,773
	Development revolving fund	3,381,037	775,886
	Education fund	676,207	155,177
		15,651,318	**3,511,836**
13.	**Cash and cash equivalent**		
	Finance Trust Bank Ltd	7,241,679	5,119,285
	Centenary Bank Ltd	81,413,127	70,198,152
	Housing Finance Bank	16,997,610	33,777,532
	Office imprest	90,600	44,100
	Quick loan imprest	1,798,000	-
		107,541,016	**109,139,069**
14.	**Outstanding loans**		
	Loans outstanding	520,445,250	285,304,169
	Provision for loan loss	(14,585,871)	(14,280,740)
		505,859,379	**271,023,429**
15.	**Trade and other receivables**		
	Family insurance	3,232,850	-
	Sales income receivable	200,000	-
	Interest receivable on Treasury Bond	1,412,500	1,412,500
		4,845,350	**1,412,500**
16.	**Inventory**		
	T-shirt stock	420,000	-
		420,000	**-**
17.	**Investments**		
	Old Mutual	89,666,717	61,035,819
	Sanlam insurance trust fund	109,762,100	58,841,655
	ICEA Trust Fund	87,331,046	-
	Shares at UCSCU	1,000,000	1,000,000
	Treasury bond	150,000,000	150,000,000
		437,759,863	**270,877,474**

Notes to the financial statements continued

18. Property and equipment

Particulars	Computers & Accessories	Equipment Shs	Furniture & Fittings Shs	Total Shs
Cost/Valuation				
As at 01.01.2025	3,879,891	66,560	6,914,136	10,860,587
Additions	4,325,000	350,000	3,150,000	7,825,000
As at 31.12.2025	**8,204,891**	**416,560**	**10,064,136**	**18,685,587**
Depreciation				
As at 01.01.2025	1,451,357	39,298	2,068,681	3,559,336
Charge for the period	775,883	60,302	694,455	1,530,640
As at 31.12.2025	**2,227,240**	**99,600**	**2,763,136**	**5,089,976**
Net Book Value				
As at 31.12.2025	**5,977,651**	**316,960**	**7,301,000**	**13,595,611**
As at 31.12.2024	**2,428,534**	**27,262**	**4,845,455**	**7,301,251**

Notes to the financial statements (continued)

		Year ended 31.12.2025 Shs	Year ended 31.12.2024 Shs
19.	**Trade and other payables**		
	Loan insurance payable	588,086	1,959,578
	Social welfare	-	8,888,000
	Stamp duty payable	7,365,054	3,667,260
	Family insurance payable	-	147,000
	Group last claim payable	-	19,600,000
	Audit fees payable	2,000,000	2,000,000
	Unidentified deposits	626,500	-
		10,579,640	**36,261,838**
10.	**Members' savings**		
	Member's savings deposits	620,019,070	397,488,068
	Members' interest on savings	27,461,790	15,033,326
		647,480,860	**412,521,394**
21.	**Share capital**		
	Balance b/f	169,560,000	148,980,000
	Current year paid up capital	96,640,000	20,580,000
		266,200,000	**169,560,000**
22.	**Retained earnings**		
	Balance b/f	24,950,726	13,287,045
	Current year surplus/(deficit)	67,620,739	15,517,725
	Non-distributable reserves	(15,651,318)	(3,511,836)
	Dividends paid	(9,785,511)	-
	BOU donation	10,000,000	-
	Suspense	-	(342,208)
		77,134,636	**24,950,726**
23.	**Non-distributable reserves**		
	Share transfer fund	7,816,500	2,984,500
	Statutory reserve fund	8,934,115	2,172,041
	Development revolving fund	4,467,057	1,086,020
	Education fund	893,411	217,204
		22,111,083	**6,459,765**
24.	**Donor funds**		
	Bank of Uganda grant	-	10,000,000
		-	**10,000,000**

25. Related Party Transactions

A related party transaction is a transfer of resources, services or obligations between the reporting entity and related party, regardless of whether a price is charged or not. The following related party balances and transactions are included in the financial statements as at 31 December 2025:

Committee	Outstanding loans	Savings	Share Capital
Executive Board	41,181,439	32,735,832	19,060,000
Vetting Committee	8,645,233	17,041,555	10,100,000
Supervisory Committee	10,768,027	7,535,165	6,010,000
Total	**60,594,699**	**57,312,552**	**35,170,000**

All committee members' loans were performing and repayments were up to date.

26. Effect of loan loss provision computed with overdue loan considered as performing

There was a loan of Shs 31,438,764 that was overdue. The Board advised that it should be considered as performing since the borrower had signed a standing order to have the loan repaid. As a result, the loan loss provision computed was Shs 14,585,871 (statement of financial position) and the increase in loan loss provision being Shs 305,131 (statement of comprehensive income).

In our view, the risk of non-payment of this loan still remains despite the fact that a standing order was signed. If the loan is treated as overdue, the loan loss provision will be Shs 45,710,247 (statement of financial position), and the increase in loan loss provision Shs 31,429,507 (statement of comprehensive income). Therefore, the surplus before appropriation is overstated by Shs 31,124,376.

Classification	Outstanding loans	Rate	Loan loss provision
	Shs		Shs
Performing loans	483,142,858	1%	4,831,429
Watch loans		5%	-
Sub-standard loans		25%	-
Doubtful loans		50%	-
Loss loans	40,878,819	100%	40,878,819
Total	**524,021,677**		**45,710,248**

27. Contingent Liabilities

There were no contingent liabilities as at 31 December 2025 from which material loss would be anticipated.

28. Events after the End of the Reporting Period

The Cooperative Society evaluated its 31 December 2025 financial statements for events after the end of the reporting period through to the date of issue of the financial statements. There were no events after the end of the reporting period that required to be reported on.

29. Financial Risk Management (IFRS 9)

29.1. Overview

The SACCO's activities expose it to a variety of financial risks arising from its use of financial instruments. These risks include:

- Credit risk
- Liquidity risk
- Market risk (interest rate and foreign exchange risk)

The Executive Board has overall responsibility for the establishment and oversight of the SACCO's risk management framework. Risk management policies are established to identify and analyse risks, set appropriate risk limits and controls, and monitor adherence to limits.

29.2. Credit Risk

29.2.1 Nature of Credit Risk

Credit risk is the risk of financial loss arising from a member or counterparty failing to meet contractual obligations.

The SACCO's primary exposure to credit risk arises from:

- Loans and advances to members
- Trade and other receivables
- Bank balances (limited risk)

Maximum exposure to credit risk:

Financial Asset	2025 (Shs)	2024 (Shs)
Cash and bank balances	107,541,016	109,139,069
Loans and advances	505,859,379	271,023,429
Trade & other receivables	4,845,350	1,412,500
Investments	437,759,863	270,877,474
Total	**1,056,005,608**	**652,452,472**

29.2.2 Credit Risk Management

The SACCO manages credit risk through:

- Member vetting and loan appraisal procedures
- Loan collateral requirements and guarantor systems
- Loan monitoring and recovery procedures
- Credit committee oversight
- Standing orders
- Loan insurance

Loans are issued primarily to members, which reduces risk through familiarity and peer guarantees.

29.2.3 Impairment of Financial Assets

The SACCO computed loan loss provision by applying percentage to the loan portfolio as per the age analysis.

29.2.4 Credit Risk Concentration

The SACCO's loan portfolio is concentrated in:

- Individual member loans
- Short to medium-term lending

There is no significant sectoral diversification, which increases concentration risk.

29.2.5 Collateral

Loans are typically secured by:

- Member savings (first charge)
- Guarantors
- Occasionally physical collateral
- Loan insurance

However, reliance on guarantors may not fully mitigate default risk.

29.2.6 Credit Risk – Key Ratios

Indicator	2025	2024
Loan book growth	82.42%	56.99%
Loan loss provision / Loans	2.80%	5.01%

The decline in provisioning ratio despite rapid loan growth suggests heightened credit risk exposure.

29.3. Liquidity Risk

29.3.1 Nature of Liquidity Risk

Liquidity risk is the risk that the SACCO will be unable to meet its financial obligations as they fall due.

Key obligations are:

- Member savings withdrawals
- Trade and other payables
- Loan disbursement

29.3.2 Liquidity Management

Liquidity is managed through:

- Maintaining adequate cash balances
- Investment in liquid instruments
- Monitoring member withdrawal patterns

29.3.3 Maturity Analysis (Undiscounted)

Item	2025 (Shs)	2024 (Shs)
Cash and bank balances	107,541,016	109,139,069
Investments (largely liquid)	437,759,863	270,877,474
Total Liquid Assets	**545,300,879**	**380,016,543**
Members' savings	(647,480,860)	(412,521,394)
Payables	(10,579,640)	(36,261,838)
Net liquidity position	**(112,759,621)**	**(68,766,689)**

- Member savings significantly exceed liquid assets
- Negative liquidity gap indicates potential strain under stress conditions
- Growth in savings (56.9%) outpaces liquid asset growth

29.3.5 Liquidity Ratios

Ratio	2025	2024
Liquid assets / Member savings	84.22%	92.12%

Declining liquidity coverage, signals increasing withdrawal risk exposure.

29.4. Market Risk

29.4.1 Interest Rate Risk

Interest rate risk arises from:

- Loans issued at fixed rates
- Investments earning variable returns

Exposure:

- Loan portfolio: Shs 518.8M
- Investments: Shs 437.8M

Risk:
Mismatch between lending rates and investment returns may affect margins.

29.4.2 Interest Rate Sensitivity Analysis

Objective (IFRS 7): To show the impact on profit or loss arising from a reasonably possible change in interest rates, assuming all other variables remain constant.

Computation:

	Shs	Shs
Interest earning assets		
Loans and advances	505,859,379	
Investments	437,759,863	
Total interest sensitive assets		**943,619,242**
Interest-bearing liabilities		
Member savings	647,480,860	
		647,480,860
Net interest exposure		**296,138,382**
Multiply by 1%	1%	**2,961,384**

A change in interest rates would affect income as follows:

Scenario	Impact on Surplus (Shs)
+1% increase	+2.96M (approx.)
-1% decrease	+2.96M (approx.)

This would not have an impact on the surplus of the SACCO.

29.4.3 Foreign Exchange Risk

The SACCO operates primarily in Uganda Shillings.
There is no material foreign currency exposure, hence foreign exchange risk is minimal.

29.5. Capital Risk Management

The SACCO's objectives when managing capital are:

- To safeguard its ability to continue as a going concern
- To maintain adequate capital to support lending activities
- To comply with regulatory expectations

29.5.1 Capital Structure

Component	2025 (Shs)	2024 (Shs)
Total equity	411,960,719	210,970,491
Total assets	1,070,021,219	659,753,724

29.5.2 Capital Adequacy Indicators

Ratio	2025	2024
Equity / Total assets	39%	32%

Interpretation:
Capitalization has improved, supporting asset growth.

29.6. Overall Risk Profile

Risk Category	Risk Level	Trend	Key Concern
Credit Risk	**High**	Increasing	Low provisioning vs loan growth
Liquidity Risk	**High**	Increasing	Negative liquidity gap
Interest Rate Risk	Moderate	Stable	Margin sensitivity
Foreign Exchange Risk	Low	Stable	Minimal exposure
Capital Risk	Moderate	Improving	Adequate buffer

29.7. Key Audit / Regulatory Red Flags

- Potential under-provisioning (IFRS 9 non-compliance risk)
- Rapid loan growth without proportional risk buffers
- Liquidity gap indicating vulnerability to withdrawals
- Heavy reliance on member savings funding

29.8. Recommendations

- Enhance ECL modelling (PD (Probability of default), LGD (Loss given default), staging)
- Introduce loan ageing and staging disclosures
- Strengthen liquidity stress testing
- Diversify investment portfolio

-END-